

As underwriting is under way, your lender will also give you a call to ask about locking in your interest rate. Since mortgage rates can fluctuate on a daily basis, your lender will guarantee to lock your rate regardless of what the market is doing. Typically, a forty-five-day lock is recommended, unless you're fairly certain everyone will be ready to close on the house faster than that. You should follow your lender's advice on how long to lock and let them know about anything that could cause delays on your end.

Your lender can give solid advice on when to lock in your rate. Depending on how your market is doing, it might be a no-brainer to lock in the rate right away (say, when rates are at an all-time low) or try to wait them out. Because of daily fluctuations, you can also try asking your lender to lock in the rate once it hits a certain number, so long as that number is reasonable.

You might be watching rates after you lock, and sometimes they just keep going down. That raises a common question: If interest rates drop, is there *any* way to get a lower rate? Different lenders have different policies. Most lenders will charge to break your rate lock (usually a set amount, like .05 percent of the loan), and some will offer to change the rate if it makes a drastic change. Make sure to ask your lender what their policies are before you lock in a rate.

THE APPRAISAL

If you are using a mortgage to buy your home, your lender will require an appraisal, since they want to make sure your home is worth what you're paying or more. (How nice of them, right? Of course, it has *nothing* to do with the fact that the home acts as collateral in case you default on the loan.)

Typically, the lender will order the appraiser on their own, and you, the home buyer, are involved only at the very end, when the appraisal report comes in. The cost of the appraisal is often packaged up in your lender fees, so while you don't pay the appraiser, you are technically paying for the appraisal. This will be one of the last things in the purchase timeline, since you don't want to pay for an appraisal only to discover deal breakers in the home inspection or issues with loan qualification.